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Superior Court of the State of California
County of Orange
TENTATIVE RULINGS FOR DEPARTMENT N14
HON. JULIANNE SARTAIN BANCROFT

Date: Monday, June 22, 2026, 9:00 a.m.

• All counsel and self-represented parties appearing for such hearings should check-in online through the Court's civil video appearance website at https://www.occourts.org/media-relations/civil.html prior to the commencement of their hearing. Once the online check-in is completed, participants will be prompted to join the courtroom's Zoom hearing session. Check-in instructions and an instructional video are available on the court's website. A party choosing to appear in person can do so by appearing in the courtroom on the date/time of the initial appearance. All hearings are open to the public. The courtroom doors are open.

• You must provide your own court reporter (unless you have a fee waiver and request one in advance).

• Call the other side and ask if they will submit to the tentative ruling. If everyone submits, then call the clerk. The tentative ruling will become the order. If anyone does not submit, there is no need to call the clerk. The court will hold a hearing. The court may rule differently at the hearing. (See *Lewis v. Fletcher Jones Motor Cars, Inc.* (2012) 205 Cal.App.4th 436, 442, fn. 1.)

#	Case Name	Tentative Ruling
101		
102	Chao v Air Combat USA, 2022-01258475	Motion to Be Relieved as Counsel of Record – CONTINUED Motion to Be Relieved as Counsel of Record – CONTINUED Suzanne Burke Spencer (“Moving Counsel”), moves to be relieved as counsel of record for Defendants Michael J. Blackstone and Air Combat USA, Inc. (collectively, “Defendants”). “The motion to be relieved as counsel must be accompanied by a declaration on the Declaration in Support of Attorney's Motion to Be Relieved as Counsel--Civil (form MC-052). The declaration must state in general terms and without compromising the confidentiality of the attorney-client relationship why a motion under CCP § 284(2) is brought instead of filing a consent under CCP § 284(1).” (Cal. Rules of Court, rule 3.1362(c).) Moving Counsel states the grounds for the motions are as follows: “Attorneys are required to withdraw from Defendant’s representation by rule 1.16 of the California Rules of Professional Conduct. Permissible grounds for withdrawal also exist under rule 1.16. Attorneys are constrained by their duty of confidentiality and by attorney-client privilege from further expounding upon the reasons for withdrawal.” (ROA 225, 236, Judicial Council Form MC-052, Declaration in Support of Attorney’s Motion to be Relieved as Counsel, ¶ 2.)

		California Rules of Professional Conduct, Rule 1.16 contains numerous grounds for mandatory and permissible withdrawal. Moving Counsel refers to mandatory and permissible withdrawal without specifying the ground(s) upon which Moving Counsel moves to be relieved. Moving Counsel does not provide any general facts explaining the reasons for the motion, and the Court cannot determine whether adequate grounds exist to grant the motions to be relieved as counsel of record for Defendants. Further, the instant motions to be relieved as counsel of record were set for hearing on May 28, 2026 and June 4, 2026 in in Department C44. (ROA 229, 240.) After the moving papers were served on the client, the case was reassigned to this Department pursuant to a Minute Order dated May 19, 2026, and the motions were continued to June 22, 2026. (ROA 250.) The clerk gave notice of the Minute Order dated May 19, 2026. (ROA 251.) However, there is no indication that Defendants were given notice of the continued hearing date, or of the location of the newly assigned Department. Based on the foregoing, the Court CONTINUES the motions to be relieved as counsel of record to July 13, 2026, at 9:00 a.m. in Department N14. Moving Counsel is ORDERED to file supplemental declarations providing general facts sufficient to show that mandatory and/or permissive withdrawal is appropriate. Said declarations to be filed and served no later than nine (9) courts day before the continued hearing date. Moving Counsel is also ORDERED to immediately serve notice on the clients and on all parties to the action. Moving Counsel to file proof of service of the same no later than nine (9) court days before the continued hearing date.
103	Fullerton v Air Combat USA, 2026-01548989	Motion to Be Relieved as Counsel of Record – CONTINUED

		Suzanne Burke Spencer ("Moving Counsel"), moves to be relieved as counsel of record for Defendant Air Combat USA, Inc. "The motion to be relieved as counsel must be accompanied by a declaration on the Declaration in Support of Attorney's Motion to Be Relieved as Counsel--Civil (form MC-052). The declaration must state in general terms and without compromising the confidentiality of the attorney-client relationship why a motion under CCP § 284(2) is brought instead of filing a consent under CCP § 284(1)." (Cal. Rules of Court, rule 3.1362(c).) Moving Counsel's declaration in support of the motion states: "Attorneys are required to withdraw from Defendant's representation by rule 1.16 of the California Rules of Professional Conduct. Permissible grounds for withdrawal also exist under rule 1.16. Attorneys are constrained by their duty of confidentiality and by attorney-client privilege from further expounding upon the reasons for withdrawal." (ROA 40, Judicial Council Form MC-052, Declaration in Support of Attorney's Motion to be Relieved as Counsel, ¶ 2.) California Rules of Professional Conduct, Rule 1.16 contains numerous grounds for mandatory and permissible withdrawal. Moving Counsel refers to mandatory and permissible withdrawal without specifying the ground(s) upon which Moving Counsel asks to be relieved. Moving Counsel does not provide any general facts that would allow the Court to determine whether adequate grounds exist to grant the motion to be relieved as counsel of record for Defendants. Further, this motion was originally set for hearing on May 28, 2026 in Department C44. (ROA 42.) After the moving papers were served on the client, the case was reassigned to this Department pursuant to a Minute Order dated May 14, 2026, and the motion was continued to June 22, 2026 pursuant to a Minute Order dated May 20, 2026. (ROA 53, 57.) The clerk gave notice of both Minute Orders to counsel for the parties. (ROA 54, 58.) However, there is no indication that Defendant,

		Air Combat USA, Inc., was given notice of the continued hearing date, or of the location of the newly assigned Department. Based on the foregoing, the Court CONTINUES the motion to be relieved as counsel of record to July 13, 2026 at 9:00 a.m. in Department N14. Moving Counsel is ORDERED to file a supplemental declaration providing general facts sufficient to show that mandatory and/or permissive withdrawal is appropriate. Said declaration to be filed and served no later than nine (9) courts day before the continued hearing date. Moving Counsel is also ORDERED to immediately serve notice on the clients and on all parties to the action. Moving Counsel to file proof of service of the same no later than nine (9) court days before the continued hearing date.
104	Fu vs. Action Property Management, Inc., 2021-01207341	Demurrer to Amended Complaint – OVERRULED Motion to Strike Complaint – DENIED Plaintiffs Jian Fu and Xiaodan Qu (collectively, "Plaintiffs") filed a complaint against defendant Action Property Management, Inc. ("Defendant") for negligence in June 2021. Plaintiffs own a residence located in a common interest development managed by an HOA. The HOA hired Defendant to provide property management services. Plaintiffs allege: in August 2014, they moved out of the Property but retained ownership and submitted to Defendant a request to receive annual policy statements and mailings and notices at another address; Defendant failed to update the HOA's records and did not send annual policy statements, mailings, or notices to the secondary address, including notice of increased monthly assessments; while Plaintiffs continued making assessment payments at the original amount, they fell into arrears; the HOA recorded a lien on the Property and filed a lawsuit against Plaintiffs; that because of Defendant's negligence, Plaintiffs suffered damages from late fees, penalties, collection fees, and attorney fees in the HOA lawsuit.

This court granted a motion for judgment on the pleadings by Defendant without leave to amend. The Court of Appeal agreed that the Complaint failed to allege that Defendant owed Plaintiffs a duty, but reversed because Plaintiffs should have been granted leave to amend. (ROA 249).

Plaintiffs filed a first amended complaint (FAC) alleging causes of action for negligent misrepresentation; intentional misrepresentation; and unfair business practices. The FAC adds new allegations that APM, through Cassidy Feder, misrepresented to Fu and Qu via phone and email that it would update the mailing list and send statements and notices to their new address. Fu and Qu allege that APM made the misrepresentation with no reasonable grounds for believing its representation to be true when made or made the misrepresentation intentionally to increase its own profits, as APM makes money off of homeowner delinquencies. They further allege that APM intended that Fu and Qu would rely on the representation, they reasonably did rely on the representation, and they were harmed as a result.

<u>1st & 2nd Causes of action - Negligent and Intentional Misrepresentation</u>
APM argues these causes of action fail because Plaintiffs do not allege that Ms. Feder had authority to make statements on its behalf.

The Court finds that Plaintiffs' allegation that Ms. Feder made the misrepresentations on APM's behalf are sufficient, as a reasonable inference from the allegations is that Ms. Feder was acting with authority. (See Rodas v. Spiegel (2001) 87 Cal.App.4th 513, 517 ["The complaint must be construed liberally by drawing reasonable inferences from the facts pleaded."].)

APM also argues that these causes of action fail because Plaintiffs have not alleged that Ms. Feder did not have reasonable grounds for believing her statements to be true or that she intended to deceive Plaintiffs. However, Plaintiffs do allege both that APM had no reasonable grounds for believing the representation to be true and, alternatively, that APM knew the representation was false when it was made or made it recklessly without regard for its truth. Again, a reasonable inference from the allegations is that Ms. Feder made the misrepresentations while acting on APM's behalf and that she and others acting for APM had no reasonable basis to believe them to be true or knew they were untrue. These allegations are sufficient to support the causes of action. (Chapman v. Skype, Inc. (2013) 220 Cal.App.4th 217, 230-231.)

APM argues that Plaintiffs have not adequately alleged damages because if APM truly failed to update Plaintiffs' address, then the lack of notices would mean the damages claimed here would not be owed according to Plaintiffs' own arguments. They further argue that Plaintiffs fail to plead that they updated their address in 2017 or that their requests to update their address by email were accepted by the HOA.

Plaintiffs allege that as a result of APM's misrepresentations, they suffered damages in the form of late fees, penalties, and collection fees. On a demurrer, the relevant inquiry is whether the pleading adequately alleges sufficient facts, not whether all allegations can ultimately be proven. (Nolte v. Cedars-Sinai Medical Center (2015) 236 Cal.App.4th 1401, 1406 ["Because a demurrer tests only the legal sufficiency of the pleading, we accept as true even the most improbable alleged facts, and we do not concern ourselves with the plaintiff's ability to prove its factual allegations."].) Here, Plaintiffs have adequately alleged that they suffered damages as a result of APM's conduct. Whether those damages are barred or can be defended against by other means, which is what APM argues, is irrelevant at this time.

APM argues that the FAC is uncertain because Plaintiffs have not alleged privity of contract or intended beneficiary status and have not attached a copy of the contract. However, Plaintiffs' fraud causes of action are not based on any contract or intended beneficiary status. Thus, the Court finds that this argument fails.

APM contends that Plaintiffs have failed to allege justifiable reliance because they had no justifiable basis to believe that their address would be updated because the HOA did not consent to delivery by email. This argument goes beyond the four corners of the FAC or matters which are judicially noticeable, as there are no allegations regarding any request to update addresses sent by email. Further, it ignores the allegations that Plaintiffs were expressly informed that their address would be updated by an APM representative. APM offers no reasonable argument as to why Plaintiffs' allegations that they reasonably relied upon such representations was unjustified.

<u>3rd Cause of action - Unfair Business Practices</u>
Because Plaintiffs have stated causes of action for negligent and intentional misrepresentation, which are both fraud-based claims, their unfair business practices cause of action is sufficiently supported. (Schnall v. Hertz Corp. (2000) 78 Cal.App.4th 1144, 1153 [section 17200's scope is broad and "it defines 'unfair competition' to include 'any unlawful, unfair or fraudulent business act or practice.'"].)

<u>Issue Preclusion</u>
APM argues the entire action should be dismissed pursuant to the doctrine of issue preclusion. APM contends that each cause of action is premised on whether Fu and Qu actually made an update to their legal address for all communications and that issue was decided in a 2018 assessment lawsuit between the HOA and Fu and Qu. In that 2018 lawsuit, a final judgment was entered against Fu and Qu. APM argues that because the prior trial necessarily decided that Fu and Qu did not make an attempt to update their legal address for all HOA notices, which would have been a defense, issue preclusion prevents them from relitigating the issue.

"Issue preclusion [] prevents 'relitigation of previously decided issues,' . . . . [Citation.] It applies only '(1) after final adjudication (2) of an identical issue (3) actually litigated and necessarily decided in the first suit and (4) asserted against one who was a party in the first suit or one in privity with that party.' " (Samara v. Matar (2018) 5 Cal.5th 322, 327.) "The point is that, once an issue has been finally decided against such a party, that party should not be allowed to relitigate the same issue in a new lawsuit." (DKN Holdings LLC v. Faerber (2015) 61 Cal.4th 813, 827.)

The HOA's 2018 complaint sought to recover unpaid sums owed by Fu and Qu related to maintenance assessments. The judgment entered on December 20, 2023 states that the jury found that Fu and Qu were delinquent in their assessment payments and owed for delinquent assessments, late fees, interests, and costs and that the HOA kept a written or electronic account of the debits and credits involved for the unpaid amounts owed.

While APM argues that the 2018 lawsuit involved an identical issue about whether Fu and Qu actually updated their address, it provides no evidence in support. Further, even if the 2018 issue involved the issue of whether Fu and Qu actually updated their address, issue preclusion would not apply because here, Fu and Qu's claims are not based on whether they actually updated their address but rather on whether APM fraudulently or negligently misrepresented to Fu and Qu that their address for notices would be updated. Whether Fu and Qu actually updated their address is a separate issue from whether APM made misrepresentations to them and they reasonably relied upon those representations to their detriment.

Economic Loss Rule

APM argues that Plaintiffs have alleged nothing beyond a failure to complete a contractual duty, as the contract between APM and the HOA obligated APM to maintain membership address lists. APM argues that the economic loss rule therefore precludes all three causes of action. However, "[a] plaintiff may assert a tort claim for fraudulent concealment based on conduct occurring in the course of a contractual relationship, if the elements of the cause of action can be established independent of the parties' contractual rights and obligations . . . ." (Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1,

		38.) Here, the allegations of APM's fraud are independent of APM's obligations under its contract with the HOA to update addresses and send out notices properly. They are based on APM's obligation not to make misrepresentations, whether intentionally or negligently, to Plaintiffs. Thus, the economic loss rule does not apply. <u>Motion to Strike</u> The prayer for punitive damages is supported by the fraud-based claims. (Civil Code, § 3294(a).) APM to file an answer to the FAC within 20 days. Moving party to give notice.
105	Fundulea vs. Divine, 2024-01375051	Demurrer to Amended Cross-Complaint – OVERRULED IN PART AND SUSTAINED IN PART WITH 20 DAYS LEAVE TO AMEND Motion to Strike Portions Of Complaint – DENIED This case arises out of the sale of a small business by Anca and Eugen Fundulea (Sellers) to The Renaissance Company et al (Buyers). Sellers sued Buyers for multiple causes of action, including breach of contract and fraud, and Buyers filed a cross-complaint for essentially the same causes of action. Before the court are Sellers' demurrer to Buyers' first amended cross-complaint (FACC) and Sellers' motion to strike portions of the FACC. "A complaint, with certain exceptions, need only contain a 'statement of the facts constituting the cause of action, in ordinary and concise language' (Code Civ. Proc., § 425.10, subd. (a)(1)) and will be upheld ' "so long as [it] gives notice of the issues sufficient to enable preparation of a defense." ' [Citation.]" (Morris v. JPMorgan Chase Bank, N.A. (2022) 78 Cal.App.5th 279, 292.) "[T]o withstand a demurrer, a complaint must allege ultimate facts, not evidentiary facts or conclusions of law.' [Citation.]" (Morris v. JPMorgan Chase Bank, N.A. (2022) 78 Cal.App.5th 279, 292.) "However, ' "[t]he fact that a party has alleged more than is required to justify

his right does not obligate him to prove more than is essential, and the unnecessary allegations will be treated as surplusage unless the opposing party would be prejudiced."" (Ibid.)

"No error or defect in a pleading is to be regarded unless it affects substantial rights." (Harris v. City of Santa Monica (2013) 56 Cal.4th 203, 240.) "The primary function of a pleading is to give the other party notice so that it may prepare its case [Citation], and a defect in a pleading that otherwise properly notifies a party cannot be said to affect substantial rights." (Ibid.)

<u>1st Cause of Action – Breach of Contract</u>
"[T]he elements of a cause of action for breach of contract are (1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff." (Oasis West Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 821.) "[T]he complaint must indicate on its face whether the contract is written, oral, or implied by conduct." (Otworth v. Southern Pac. Transportation Co. (1985) 166 Cal.App.3d 452, 458–459.)

Express and implied "contract[s] are identical in that they require a meeting of minds or an agreement [citation]." (Aton Center, Inc. v. United Healthcare Ins. Co. (2023) 93 Cal.App.5th 1214, 1230.) "Thus, it is evident that both the express contract and contract implied in fact are founded upon an ascertained agreement or, in other words, are consensual in nature, the substantial difference being in the mode of proof by which they are established." (Ibid.)

Moreover, "[i]n order to plead a contract by its legal effect, plaintiff must allege the substance of its relevant terms." (McKell v. Washington Mutual, Inc. (2006) 142 Cal.App.4th 1457, 1489.) "This is more difficult, for it requires a careful analysis of the instrument, comprehensiveness in statement, and avoidance of legal conclusions." (Ibid.)

Here, Buyers allege that the parties entered into a written stock purchase agreement (FACC, ¶ 6.), identify

		the section of the agreement Sellers allegedly breached and allege facts setting forth how those sections were allegedly breached (FACC, ¶¶ 8-14 and 18), allege their own performance or excuse from performance (FACC, ¶ 17), and allege damages. (FACC, ¶ 19.) This is sufficient to state a cause of action for breach of contract at this stage in the litigation, and the demurrer to this cause of action is OVERRULED. <u>2nd Cause of Action – Breach of the Implied Covenant</u> Sellers' argument as to this cause of action rests entirely on the Court sustaining the demurrer as to the first cause of action and therefore must be overruled. The Court finds that in any event, the allegations in the FACC sufficiently state a cause of action for breach of implied covenant of good faith and fair dealing. (FACC, ¶¶ 20 -24 and 40.) the demurrer to this cause of action is OVERRULED. <u>3rd Cause of Action – Fraud</u> Fraud causes of action must be pled with specificity. "This particularity requirement necessitates pleading facts which show how, when, where, to whom, and by what means the false representations were made." (State ex rel. Edelweiss Fund, LLC v. JPMorgan Chase & Co. (2023) 90 Cal.App.5th 1119, 1136–1137.) "The complaint must plead the time, place, and contents of the false representations, as well as the identity of the person making the misrepresentation and what he obtained thereby." (Ibid.) Here, Buyers allege that "Cross Defendants promises to provide TRC with Company emails and other data and intellectual property as part of the SPA were false when made and that Cross-Defendants had no intent to honor such promises when they were made. Cross-Complainant is further informed and believe and based thereon allege that Cross-Defendants made the promises with the intent to induce Cross-Complainant to rely on them." (FACC, ¶ 27.) These allegations fail to specify the "how, when, where, to whom, and by what means the false representations were made" as required for fraud causes of action.

The demurrer to the third cause of action for fraud is SUSTAINED WITH LEAVE TO AMEND for failure to allege the requisite specificity regarding the "the time, place, and contents of the false representations."

4th Cause of Action – Unjust Enrichment
Buyers have agreed to dismiss this cause of action.

5th Cause of Action -UCL
Sellers demurred to this cause of action, but have not addressed it in the memorandum of points and authorities. They have not carried their burden and the demurrer is OVERRULED as to this cause of action.

6th Cause of Action – Pen. Code § 502
Penal Code section 502 authorizes a civil suit against anyone who "(1) Knowingly accesses and without permission alters, damages, deletes, destroys, or otherwise uses any data, computer, computer system, or computer network in order to either (A) devise or execute any scheme or artifice to defraud, deceive, or extort, or (B) wrongfully control or obtain money, property, or data. . . .[¶] (4) Knowingly accesses and without permission adds, alters, damages, deletes, or destroys any data, computer software, or computer programs which reside or exist internal or external to a computer, computer system, or computer network. . . . [¶] (11) Knowingly accesses and without permission adds, alters, damages, deletes, or destroys any data, computer software, or computer programs which reside or exist internal or external to a public safety infrastructure computer system computer, computer system, or computer network." (Pen. Code, § 502(c)(1), (4) &(11);Garrabrants v. Erhart (2023) 98 Cal.App.5th 486, 507.)

Here, Buyers allege that Sellers "knowingly, intentionally, maliciously and fraudulently deleted the Company's emails in violation of the express and implied terms of the SPA and in violation of Section 502" (FACC, ¶ 40) and that "Cross-Complainant is informed and believes and on that basis alleges that notwithstanding the parties' express understanding,

		based on both the written SPA and oral representations regarding company emails, on April 8, 2022, just one day after the SPA was fully executed and the rights and ownership of the emails and other intellectual property were transferred to TRC, Cross-Defendants intentionally deleted all of the Company's emails and related data and information." (FACC, ¶ 13.) Based on these allegations, the demurrer to the sixth cause of action for violation of Penal Code section 502 is OVERRULED. <u>7th Cause of Action – Pen. Code § 496</u> "While section 496(a) covers a spectrum of impermissible activity relating to stolen property, the elements required to show a violation of section 496(a) are simply that (i) property was stolen or obtained in a manner constituting theft, (ii) the defendant knew the property was so stolen or obtained, and (iii) the defendant received or had possession of the stolen property." (Switzer v. Wood (2019) 35 Cal.App.5th 116, 126.) "Theft, in turn, is defined in section 484, subdivision (a), as follows: 'Every person who ... shall knowingly and designedly, by any false or fraudulent representation or pretense, defraud any other person of money, labor or real or personal property ... is guilty of theft.'" (Johnson v. Connie, LLC (2025) 113 Cal.App.5th 850, 855.) "To prove theft, a plaintiff must establish criminal intent on the part of the defendant beyond 'mere proof of nonperformance or actual falsity.'" (Siry Investment, L.P. v. Farkhondehpour (2022) 13 Cal.5th 333, 361–362.) "This requirement prevents '[o]rdinary commercial defaults' from being transformed into a theft." (Id., 362.) "If misrepresentations or unfulfilled promises 'are made innocently or inadvertently, they can no more form the basis for a prosecution for obtaining property by false pretenses than can an innocent breach of contract.'" (Ibid.) Here, the FACC alleges that Sellers "knowingly, intentionally, maliciously and fraudulently deleted the Company's emails in violation of the express and implied terms of the SPA and in violation of Section 496."

(FACC, ¶ 45.) It also alleges that this occurred after Buyers owned the company and the emails belonging to the company: “Cross-Complainant is informed and believes and on that basis alleges that notwithstanding the parties’ express understanding, based on both the written SPA and oral representations regarding company emails, on April 8, 2022, just one day after the SPA was fully executed and the rights and ownership of the emails and other intellectual property were transferred to TRC, Cross-Defendants intentionally deleted all of the Company’s emails and related data and information.” (FACC, ¶ 13.)

The demurrer to the seventh cause of action for violation of Penal Code section 496 is OVERRULED.

Motion to Strike
The Motion is DENIED in its entirety.

The Court will address each allegation that Defendant seeks to strike.

1. FAC ¶19, page 7, lines 2-5, which state: “. . . reimbursement of attorneys’ fees paid to cover the Company’s legal fees forwarded by Plaintiffs for the successful litigation against The Build Group, Inc.. . ”

As to this allegation, Defendant argues that “[n]othing in the SPA requires Defendants to reimburse Plaintiffs for attorneys’ fees Plaintiffs allegedly incurred on behalf of the Company.”

However, the SPA appears to have an indemnification clause that allows the sellers to recover losses incurred arising out of or related to: “(a) any inaccuracy in or breach of any of the representations or warranties of Buyer contained in this Agreement or the other Transaction Documents; or (b) any breach or non-fulfillment of any covenant, agreement, or obligation to be performed by Buyer pursuant to this Agreement. (c) Any loss, liability, damage or claim against the Seller Indemnitees arising from the conduct of the Company after the Closing Date including, without limitation, the Company’s continued use of the California Contractor

		License held by Eugen Fundulea." Moreover, Plaintiffs also argue and the FAC alleges that Plaintiffs are entitled to these fees pursuant to the transition clause contained in the SPA. The FACC appears to allege that Plaintiffs are entitled to fees related to the Build Group, Inc. litigation matters. Whether those fees violate the transition clause of the SPA or are subject to indemnification pursuant to the SPA are at issue in this case. The Court will not strike such allegations. The Motion to Strike is DENIED as to this allegation. 2. FAC ¶49, page 9, lines 9-10, which state: "… failing to reimburse for attorneys' fees expended on behalf of the Company in litigation, failing to pay the sums recovered through litigation with Build Group, Inc.. . ." For the reasons discussed above, the Motion to Strike is DENIED as to this allegation. 3. FAC ¶70.a, page 16, lines 1-3, which state: "$175,000 in cash from the settlement proceeds derived from the Build Group, Inc. litigation (Los Angeles Superior Court Case No. 22LBCV00220 and Case No. 22LBCV00317)." Defendants argue that this allegation should be stricken because it is not a grounds for conversion. "Conversion is the wrongful exercise of dominion over the property of another." (Los Angeles Federal Credit Union v. Madatyan (2012) 209 Cal.App.4th 1383, 1387.) "The elements of a conversion claim are: (1) the plaintiff's ownership or right to possession of the property; (2) the defendant's conversion by a wrongful act or disposition of property rights; and (3) damages. Conversion is a strict liability tort." (Ibid.) Importantly, "the foundation of the action rests neither in the knowledge nor the intent of the defendant" and "[t]herefore, questions of the defendant's good faith, lack of knowledge, and motive are ordinarily immaterial."

			(Los Angeles Federal Credit Union v. Madatyan (2012) 209 Cal.App.4th 1383, 1387.) "Money can be the subject of a conversion action if a specific, identifiable sum is involved." (Ortega v. Toyota Motor Sales, USA, Inc. (S.D. Cal. 2008) 572 F.Supp.2d 1218, 1220.) However, "the simple failure to pay money owed does not constitute conversion." (Kim v. Westmoore Partners, Inc. (2011) 201 Cal.App.4th 267, 284.) Similarly, "a mere contractual right of payment, without more, will not suffice." (Farmers Ins. Exchange v. Zerin (1997) 53 Cal.App.4th 445, 452.) Rather, "[a] cause of action for conversion of money can be stated only where a defendant interferes with the plaintiff's possessory interest in a specific, identifiable sum, such as when a trustee or agent misappropriates the money entrusted to him." (Kim v. Westmoore Partners, Inc. (2011) 201 Cal.App.4th 267, 284.) Here, Plaintiffs allege that Defendants "wrongfully acquired from Plaintiffs $175,000 in cash from the settlement proceeds derived from the Build Group, Inc. litigation (Los Angeles Superior Court Case No. 22LBCV00220 and Case No. 22LBCV00317)." This is an identifiable sum of money, which can be the subject of a conversion claim. Moreover, Plaintiffs are alleging that this payment was owed to Plaintiffs but was wrongfully distributed to Defendants. (FAC, ¶¶ 39-41.) This is sufficient to state a cause of action for conversion. The Motion to Strike is DENIED as to this allegation. 4. FAC ¶70.b, page 16, lines 4-7, which state: "Tens of thousands of dollars in legal fees ANCA FUNDULEA and EUGEN FUNDULEA, as former owners of A1 QUALITY BLINDS, paid to A1 QUALITY BLINDS's legal counsel, Schwartz Semerdjian law firm for the Build Group, Inc. litigation matters (Case No. 22LBCV00220 and Case No. 22LBCV00317)." For the reasons discussed above, the Motion to Strike is DENIED as to this allegation.

		5. FAC ¶70.c, page 16, line 8, which states: "EUGEN FUNDULEA's California Contractor's License, No. 1009294." The Motion is DENIED as to this allegation for the reasons discussed above regarding conversion. (See also Holistic Supplements, LLC v. Stark (2021) 61 Cal.App.5th 530, 552 [holding that certain government certificates and licenses can be converted and therefore subject to a claim for conversion.) Moreover, Defendant relies on the Court taking judicial notice of the A1 Quality Blinds contractor's license information available through the California Contractors License Board public online license records "Courts can take judicial notice of the existence, content and authenticity of public records and other specified documents, but do not take judicial notice of the truth of the factual matters asserted in those documents." (Dominguez v. Bonta (2022) 87 Cal.App.5th 389, 400, as modified (Jan. 6, 2023) [emphasis in original].) Based on this authority, the Court will not strike this allegation from the Complaint. 6. FAC ¶83, page 17, lines 20-21, which state: "acquiring 100% of the corporate shares of A1 QUALITY BLINDS from Plaintiffs through promissory fraud without paying in full for them." For the reasons discussed above, the Motion to Strike is DENIED as to this allegation. 7. FAC, ¶83, page 17, lines 21-22, which state: "stealing and converting $175,000 from Plaintiffs by rerouting and converting settlement proceeds." For the reasons discussed above, the Motion to Strike is DENIED as to this allegation. 8. FAC, ¶83, page 17 lines 22-24, which state: "by taking Plaintiff EUGEN FUNDULEA's contractor's license without permission or consent."

			For the reasons discussed above, the Motion to Strike is DENIED as to this allegation. 9. FAC, ¶110.c, page 21, lines 17-19, which state: "175,000 in cash from the settlement proceeds derived from the Build Group, Inc. litigation (Los Angeles Superior Court Case No. 22LBCV00220 and Case No. 22LBCV00317). The Motion to Strike is DENIED as to this allegation. The Court notes that "[u]njust enrichment is not a cause of action, ... or even a remedy, but rather a general principle, underlying various legal doctrines and remedies." (Bank of New York Mellon v. Citibank, N.A. (2017) 8 Cal.App.5th 935, 955, as modified (Mar. 1, 2017).) Still, the "elements for a claim of unjust enrichment are receipt of a benefit and unjust retention of the benefit at the expense of another." (Prakashpalan v. Engstrom, Lipscomb & Lack (2014) 223 Cal.App.4th 1105, 1132, as modified on denial of reh'g (Feb. 27, 2014).) "The theory of unjust enrichment requires one who acquires a benefit which may not justly be retained, to return either the thing or its equivalent to the aggrieved party so as not to be unjustly enriched." (Ibid.) "It is not, strictly speaking, a theory of recovery, but an effect: the result of a failure to make restitution under circumstances where it is equitable to do so." (Ibid.) "It is synonymous with restitution." (Ibid.) "Ordinarily, restitution is required only if the benefits were conferred by mistake, fraud, coercion or request.' " (Ibid.) This allegation puts Defendants on notice that Plaintiffs seek restitution for the "175,000 in cash from the settlement proceeds derived from the Build Group, Inc. litigation (Los Angeles Superior Court Case No. 22LBCV00220 and Case No. 22LBCV00317)" that Defendants received by "mistake, fraud, coercion or request." The Motion to Strike is DENIED as to this allegation. 10. FAC, ¶110.d., page 21, lines 20-24, which state: "Tens of thousands of dollars in legal fees ANCA

		FUNDULEA and EUGEN FUNDULEA, as former owners of A1 QUALITY BLINDS, paid to A1 QUALITY BLINDS's legal counsel, Schwartz Semerdjian law firm for the Build Group, Inc. litigation matters (Case No. 22LBCV00220 and Case No. 22LBCV00317). For the reasons discussed above, the Motion to Strike is DENIED as to this allegation. 11. FAC, ¶110.e., page 21, line 26, which states: "EUGEN FUNDULEA's California Contractor's License, No. 1009294." For the reasons discussed above, the Motion to Strike is DENIED as to this allegation. Moving party to give notice.
106	Hamidi vs. Manheim Investments, Inc., 2020-01145159	Motion for Reconsideration – DENIED Plaintiff Khalil Rahman Hamidi ("Plaintiff") moves for reconsideration of the court's 02/24/2026 order granting the motion for summary judgment filed by Defendants On Demand Staffing, Inc. ("On Demand") and John Jeffers ("Jeffers") (collectively, "Defendants"). A motion for reconsideration must be: (1) brought before the same judge who made the order; (2) "made within 10 days after service upon the party of notice of entry of the order"; (3) based on "new or different facts, circumstances or law" than those before the court at the time of the original ruling; (4) supported by declaration stating the previous order, by which judge it was made, and the new or different facts, circumstances or law claimed to exist; and (5) made and decided before entry of judgment. (Code Civ. Proc., § 1008.) A motion for reconsideration involves a two-step process. First, if the motion meets the requirements of § 1008 (as outlined above), the court grants reconsideration. Second, the court then proceeds to the merits of the motion—which may result in reaffirmation of the

original order. (Randy's Trucking, Inc. v. Superior Court (2023) 91 Cal.App.5th 818, 844.)

The burden under § 1008 "is comparable to that of a party seeking a new trial on the ground of newly discovered evidence: the information must be such that the moving party could not, with reasonable diligence, have discovered or produced it at the trial." (New York Times Co. v. Superior Court (2005) 135 Cal.App.4th 206, 212-213; see Garcia v. Hejmadi (1997) 58 Cal.App.4th 674, 690; California Correctional Peace Officers Ass'n v. Virga (2010) 181 Cal.App.4th 30, 47, fn. 15 (collecting cases).)

The basis for Plaintiff's motion is the Court's comments at the hearing on the Motion for Summary Judgment. Plaintiff's Attorney, John C. Hatch, declares: "I am informed and believe that the Court's ruling granting summary judgment rested on the mistaken understanding that the Court of Appeal had already reviewed the same On Demand and Jeffers evidentiary record presently at issue."

The problem with Plaintiff's argument is that the Court's alleged "mistaken understanding" is not new or different facts, circumstances or law.

Additionally, Plaintiff fails to establish why, if the Court was in fact "mistaken", Plaintiff could not present evidence and/or argument at the hearing on the summary judgment motion to correct the Court's understanding.

That there is no basis for relief under section 1008 is acknowledged by Plaintiff's citation to Le Francois v. Goel (2005) 35 Cal.4th 1094, 1104-1105, for the proposition that the Court can also exercise its inherent authority to correct an erroneous interim ruling before entry of judgment. Plaintiff is asking this Court to sua sponte reconsider Judge Oberholzer's ruling. This Court declines the invitation.

Even if the Court were to grant reconsideration and review the MSJ and hearing, the ruling would not

		change as there is no indication Judge Oberholzer was "mistaken." Rather, he acknowledged in the tentative ruling that, "the real issue is whether any of Plaintiff's 'new evidence' filed in Opposition to this motion can create a triable issue of material fact as to gross negligence." After reviewing the new evidence, he concluded that the MSJ should be granted. Nothing at oral argument persuaded him differently. Whether the court's conclusion was or was not correct must be determined in a different way, and not by a motion for reconsideration. Defendants to give notice of this ruling and prepare a judgment based on the court's previous order granting summary judgment.
107	Kim vs. Kim, 2021-01183125	Motion to Appoint Limited Receiver – GRANTED Plaintiff Mira Kim ("Mira") filed a Motion for Appointment of Limited Receiver. Defendant Anna Kim opposes the motion. The court is well acquainted with the parties and their claims in this matter, having just completed a jury trial in this case. The verdict did not affect the need for the court to hear and rule on this motion, however. "A receiver may be appointed by the court in which an action or proceeding is pending, or by a judge of that court, in the following cases: (1) In an action . . . between partners or others jointly owning or interested in any property or fund, on the application of the plaintiff, . . . where it is shown that the property or fund is in danger of being lost, removed, or materially injured. . . . [¶] (6) Where a corporation is insolvent, or in imminent danger of insolvency, or has forfeited its corporate rights. . . . [¶] (9) In all other cases where necessary to preserve the property or rights of any party." (Code Civ. Proc., § 564, subd. (b)(1), (6), (9).) "The rule is established that the appointment of a receiver rests largely in the discretion of the trial court and that its action in appointing a receiver or its refusal of an application for the appointment of such an officer

will not be disturbed in the absence of a showing that the court's discretion has been abused." (City and County of San Francisco v. Daly (1993) 16 Cal.App.4th 734, 744.)

"In a civil action, a receiver is an agent and officer of the court, and property in the receiver's hands is under the control and continuous supervision of the court." (People v. Stark (2005) 131 Cal.App.4th 184, 204.) However, "[b]ecause the appointment of a receiver transfers property…out of the hands of its owners and into the hands of a receiver [citation], the appointment of a receiver is a very drastic, harsh, and costly remedy that is to be exercised sparingly and with caution." (Koenig v. Centralia Limited Investors (2025) 112 Cal.App.5th 1174, 1192 [internal quotations omitted].)

"[R]eceivers are often legal luxuries, frequently representing an extravagant cost to a losing litigant. When it appears that no reasonably certain benefit will result to one litigant, and a distinct disadvantage will result to another, courts should weigh carefully the propriety of appointing a receiver." (City and County of San Francisco v. Daly (1993) 16 Cal.App.4th 734, 744.)

Here, most of the relevant facts are undisputed. Specifically, it is undisputed that in December 2024, May Enterprise, LLC ("May") defaulted on a promissory note with Hanmi Bank, which was secured by a Deed of Trust on May's primary asset—a hotel property located at 525 South Harbor Boulevard in San Pedro, California (the "Property"). (ROA 1069, Mira Kim Decl. ¶¶ 2, 5, 13.) On March 23, 2026, Hanmi Bank recorded a Notice of Default and Election to Sell Under Deed of Trust against May Enterprise. (Fletcher Decl., ¶ 4, Exh. 3.) The Notice of Default indicated that the amount owed as of February 19, 2026 was $3,293,632.38. (Ibid.) The parties do not dispute that the Property had significant value, but that May's bank account and cash on hand could not repay the outstanding balance owed on the Hanmi Loan. (ROA 1069, Mira Kim Decl. ¶ 13.)

A foreclosure sale is now imminent, as the Notice of Default indicates that the date of the foreclosure sale

		may be set 90 days after recordation of the Notice of Default, which is June 21, 2026. The date of the sale may be no earlier than three months and 20 days after the notice of recordation. (Civ. Code, §2924.) Mira, as 2/3 owner and Manager of May, contends she has been unable to obtain funding to pay off the Hanmi Loan due to Anna (the remaining 1/3 owner) continually vetoing all options presented. (ROA 1069, Mira Kim Decl., ¶¶ 11, 19-23.) Section 5.01 of May's Operating Agreement requires unanimous consent of all Members for certain decisions, including incurring any debt not in the ordinary course of business. (ROA 169, Mira Kim Decl., ¶ 3, Exh. A.) Mira asks the Court to appoint a receiver for the limited purpose of securing funds to repay approximately $3.2 million on the defaulted Hanmi Loan before the Property, which is May's sole operating asset, is lost to foreclosure. Anna, who is the only other Member of May, opposes the motion, contending that it is too late for a receiver to be able to accomplish the stated task, and thus there is no point in having May incur additional expenses. Anna further argues that Mira is impermissibly attempting to use the receiver as a workaround to avoid the unanimous consent provision of the Operating Agreement. The jury trial of this matter was recently completed, with the jury awarding $12,000 in compensatory damages and $1.9 million in punitive damages to May. (ROAs 1419-1420.) A receiver may well be able to procure funding, particularly in light of the recent verdicts. It is also clear that the loss of the Property through foreclosure is imminent. Further, a sale by foreclosure is a forced sale which will result in a significantly below market value sale price, thus resulting in substantial financial loss to May. (See Sussman Decl. ¶¶ 8-10.)

		Additionally, this motion has been pending for more than two months, during which time Mira and Anna have not been able to agree to any path forward—despite Anna's testimony that she is "still willing to cooperate with Mira to find a reasonable resolution to the Hanmi Loan situation." (ROA 1368, Anna Decl. ¶ 15.) Anna does not object to the qualifications or rates proposed by Mira's proposed receiver, Kevin Singer. Mr. Singer has presented a declaration with his qualifications and also declares that he is not "(i) associated with, or employed by, any party in this matter or any attorney in this matter; (ii) interested in the property or in this action; or (iii) related to any judge of this Court by consanguinity or affinity within the third degree." (Singer Decl. ¶ 5.) Where a Court proceeds to appoint a receiver, "[t]he receiver shall give an undertaking to the State of California, in such sum as the court or judge may direct, to the effect that the receiver will faithfully discharge the duties of receiver in the action and obey the order of the court therein." (Code Civ. Proc., §567, subd. (b).) Mira proposes a bond amount of $10,000, to which Anna does not object. The Court therefore adopts the proposed amount. In the exercise of its discretion, the court GRANTS the motion for appointment of a limited receiver, and appoints Kevin Sanger as the limited receiver. The court orders that a $10,000 bond be posted. Plaintiff to give notice.
108	Morton vs. Chevron, 2025-01487002	Motion - Other (Alternate Service) – VACATED Plaintiff, Robert Morton, moves for an order allowing alternate service by mail and email. On November 13, 2025, this case came on for hearing for a Case Management Conference. (See ROA 12.) There was no appearance by any party, and the Court set an Order to Show Cause re: Dismissal/Sanctions for Failure to Appear and Failure to Serve, providing the following

		warning: "If no appearances are made at the scheduled hearing, the court may dismiss the matter without any further notice." (ROA 12.) The Clerk was ordered to give notice and the Clerk gave notice by mail on Plaintiff on November 5, 2025. (ROA 13.) This motion was filed on December 1, 2025. (ROA 14.) On March 9, 2026, plaintiff failed to appear at the hearing for the Order to Show Cause. (ROA 17.) The Court therefore ordered the entire action dismissed without prejudice. (ROA 17.) The Clerk was ordered to give notice and the Clerk gave notice by mail on Plaintiff on March 11, 2026. (ROA 18.) The morion to order alternate service must therefore be vacated. The Court orders clerk to give notice.
109	Physician Assistant Specialists-California, Inc. vs. Orange County Thoracic and Cardiovascular Surgeons, 2025-01518274	Demurrer to Complaint – OVERRULED Motion to Strike Complaint – DENIED Plaintiff Physician Assistant Specialists-California, Inc. (Plaintiff) provided surgical assistant services to Defendant Orange County Thoracic and Cardiovascular Surgeons (Defendant) pursuant to a written services agreement. Plaintiff has sued Defendant for breach of the agreement, as well as interference with contract, violation of the UTSA, violation of the UCL, and common counts. Defendant demurred to several causes of action in the complaint (ROA 11), and moved to strike the portions of the complaint requesting punitive damages, disgorgement of profits, and injunctive relief. In considering a demurrer, the court may not go beyond the four corners of the complaint, and must accept as true all material facts properly pleaded. <u>Second & Third Causes of Action for Intentional Interference with Contractual Relations & Prospective Contractual Relations</u> Defendant argues these causes of action fail because California law favors competition in the employment sphere and permits potential employers to hire employees of another company. Further, Defendant argues that because the Services Agreement explicitly authorized Defendant to hire Plaintiff's employees, a

			cause of action for interference with its contracts with employees solicited by Defendant would be antagonistic to Plaintiff's claim for breach of contract. Plaintiff alleges that Defendant interfered with its contracts with its other hospital clients, not with its employees. (Compl. ¶¶ 37, 39, 48.) Even if Defendant was permitted under the parties' contract to hire Plaintiff's employees, such contractual agreement would not permit Defendant to knowingly and intentionally interfere with Plaintiff's existing and prospective contracts with other clients. Therefore, these causes of action are consistent with Plaintiff's breach of contract claim. <u>Third Cause of Action for Intentional Interference with Prospective Contractual Relations</u> The elements of a cause of action for intentional interference with prospective economic advantage "are usually stated as follows: ' "(1) an economic relationship between the plaintiff and some third party, with the probability of future economic benefit to the plaintiff; (2) the defendant's knowledge of the relationship; (3) intentional acts on the part of the defendant designed to disrupt the relationship; (4) actual disruption of the relationship; and (5) economic harm to the plaintiff proximately caused by the acts of the defendant." [Citations.]' " (Korea Supply Co. v. Lockheed Martin Corp. (2003) 29 Cal.4th 1134, 1153.) Defendant argues this cause of action fails because its allegations are conclusory, does not state a cause of action, is based on statements that were opinions not facts, and fails to allege damages. This court rejects each of those arguments. There is no requirement that a plaintiff asserting a cause of action for intentional interference with prospective contractual relations based on the misappropriation of confidential information allege how the information was obtained. However, Plaintiff expressly alleges that Defendant used confidential

information in order to establish a competing team of physician assistants. (Compl. ¶ 45.)

As to whether the alleged statements are actionable false statements, the statements "must contain a provable falsehood." (Cocoa AJ Holdings, LLC v. Schneider (2025) 115 Cal.App.5th 980, 997.) Courts "assess ' "whether a reasonable fact finder could conclude the published statement declares or implies a provably false assertion of fact," ' considering both the language of the statement and the context in which it is made." (Ibid.) Here, the alleged statements that Plaintiff "was incapable of providing sufficient or adequate staffing and therefore in breach of its contractual obligations" are not pure opinions but are provable assertions of fact.

As to damages, Plaintiff alleges that its business relationship with certain hospital clients, including the Providence health care system and specific hospitals within said system, have been disrupted as a result of Defendant's conduct. (Compl. ¶ 48.) At this stage, this allegation is sufficient to demonstrate damages.

<u>Fourth Cause of Action for Violation of California Uniform Trade Secrets Act</u>

Defendant argues that this cause of action fails because the alleged trade secrets have no independent economic value and can be easily ascertained with minimal effort. Plaintiff alleges that Defendant misappropriated its trade secrets, including information relating to the rates that Plaintiff was receiving for its services and the rates it was paying its employees. (Compl. ¶ 53.) Plaintiff alleges that this confidential information is not readily known or available to its competition and has independent economic value. (Compl. ¶ 52.) These allegations sufficiently support the cause of action.

Defendant argues it could not have improperly disclosed Plaintiff's confidential information when solicitating Plaintiff's employees because those employees were parties to the Agreement. This argument is unsupported by authority and unpersuasive. That the company was a

		party to the agreement does not make every employee a party to the agreement. Finally, the fact that Defendant was contractually permitted to hire Plaintiff's employees does not mean it cannot be liable for allegedly using trade secrets to interfere with Plaintiff's other contractual relationships. <u>Fifth Cause of Action for Violation of Business & Professions Code § 17200</u> Defendant again argues Plaintiff's allegation that it has suffered economic injury in relation to the loss of its employees who were poached by Defendant ignores its ability under the contract to hire Plaintiff's employees. As with the other causes of action, this argument is not persuasive. Further, this cause of action is based not only on Defendant's hiring of Plaintiff's employees but also based on Defendant's alleged circumvention of its obligations under the California Labor Code to obtain an unfair economic advantage in the marketplace. (Compl. ¶ 60.) <u>Seventh Cause of Action for Open Book Account</u> Defendant argues this cause of action fails because a valid express contract exists between the parties and the general rule is that express contracts are not open accounts. At this stage of the proceedings, Plaintiff is not prohibited from pleading alternate theories of liability. <u>Motion to Strike</u> Defendant argues the claim for punitive damages should be stricken because Plaintiff's only viable cause of action is for breach of contract. As discussed above, the Demurrer to the tort causes of action is overruled and, accordingly, the Motion to Strike as to the punitive damages is DENIED. Defendant next argues that the request for disgorgement under the UCL is improper because it ignores the fact that it was contractually permitted to retain Plaintiff's employees and Plaintiff has no standing to bring this claim. For the same reasons explained above, the court rejects this claim.

		Finally, Defendant argues that the 10% monthly late fee that Plaintiff seeks as part of its damages constitutes an unenforceable penalty and Plaintiff has provided no indication that the 10% monthly late fee has any bearing to the amount of damages delinquent payments would pose to them. However, it is the defendant's burden to establish that a liquidated damages provision is unreasonable and invalid. (Gormley v. Gonzalez (2022) 84 Cal.App.5th 72, 82.) And an analysis of Defendant's arguments against the 10% monthly late fee would require the Court to consider matters beyond the face of the pleading or matters which may be judicially noticed. The demurrer is OVERRULED. The motion to strike is DENIED. Defendant shall have 20 days to answer the complaint
110	Simplified Builders, Inc. vs. Tran, 2022-01297068	Motion to Be Relieved as Counsel of Record -GRANTED The motion of attorney Edward Freedman of the Law Offices of Edward W. Freedman to be relieved as counsel for Plaintiff/Cross-defendant Simplified Builders, Inc. is GRANTED. Service on the client and on all other parties who have appeared in the case was proper and all required forms containing the requisite information were filed pursuant to California Rules of Court, rule 3.1362. Importantly, a corporation must be represented in court by an attorney. As such, Plaintiff/Cross-Defendant Simplified Builders, Inc. is ORDERED to obtain new counsel within a reasonable time. (CLD Constr., Inc. v. City of San Ramon (2004) 120 Cal.App.4th 1141, 1150 ["[T]he court retains authority to dismiss an action if an unrepresented corporation does not obtain counsel within reasonable time."].) The order will take effect once moving attorney files proof of service of the signed order (MC-053) on the client.

		This order does not relieve Plaintiff/Cross-Defendant from any existing court orders, nor does it affect any pending dates, including but not limited to the informal discovery conference or the trial. Moving attorney to give notice.
111	Watkins vs. FCA US, LLC, 2023-01364783	Motion for Summary Judgment – DENIED Motion for Summary Adjudication – GRANTED IN PART AND DENIED IN PART Plaintiffs' 1st, 2nd, 3rd, and 4th causes of action arise under the Song-Beverly Consumer Warranty Act, Civil Code section 1790 et seq. (the Act). The Act applies only to goods purchased within California. (Cummins, Inc. v. Superior Court (2005) 36 Cal.4th 478, 483 ["the Act does not apply unless the vehicle was purchased in California"]; Davis v. Newmar Corp. (2006) 136 Cal.App.4th 275, 278 ["Because title passed outside of California, the Act does not apply"]; Gaynor v. W. Rec. Vehicles, Inc. (C.D. Cal. 2007) 473 F.Supp.2d 1060, 1062 ["Application of the Song-Beverly Act is expressly limited to goods sold in California."]; Barabino v. Dan Gamel, Inc. (E.D.Cal. July 25, 2006) 2006 U.S.Dist. Lexis 50722 at *8 ["California law is clear that where title passes outside of California, the Song-Beverly Act does not apply."]; see 4 Witkin, Summary of Cal. Law, Sales § 327.) "A sale is deemed completed and consummated when the purchaser of the vehicle has paid the purchase price, or, in lieu thereof, has signed a purchase contract or security agreement, and has taken physical possession or delivery of the vehicle." (Veh. Code § 5901, subd. (d).) It is undisputed that the sale of the vehicle in question was purchased in Nevada. (UMF 1, 2) Defendant has therefore met its burden under Code of Civil Procedure section 437c, subdivision (p)(2) to establish there is a complete defense to these causes of action, namely lack of standing. Plaintiff has failed to establish via admissible evidence a triable issue of material fact. Plaintiff's argument about the government interest test is irrelevant because this is an issue of standing, not choice of law. Plaintiff's argument that there is no

evidence whether this was a shipment contract or delivery contract is unavailing; the undisputed evidence is that Plaintiff was "stranded" in Las Vegas and had to purchase the vehicle to get home. (Watkins Decl., ¶¶3-4.) Plaintiff's registration of the vehicle in California with the DMV does not create a triable issue as to the purchase of the vehicle in Nevada.

As to the 5th cause of action for violation of the Magnuson-Moss Warranty Act, California courts have held it "authorizes a civil suit by a consumer to enforce the terms of an implied or express warranty. Magnuson-Moss 'calls for the application of state written ad implied warranty law, not the creation of additional federal law,' . . . . Accordingly, the failure to state a warranty claim under state law necessarily constituted a failure to state a claim under Magbnuson-Moss." (Daugherty v. Amer. Honda Motor Co., Inc. (2006) 144 Cal.App.4th 824, 833.) Because the lack of standing bars the Plaintiff's claims under the Act the claim under the Magnuson-Moss Act is barred because there is no state warranty claim remaining.

As to the 6th cause of action for fraudulent inducement by concealment, Defendant fails to offer admissible evidence that Plaintiff cannot prove an element of her claim or that a complete defense exists to it. As to this cause of action, the Defendant's separate statement reads, in relevant part, as follows: "Plaintiff's discovery responses and document production, served in response to FCA's discovery demands on June 10, 2025, contains no evidence to support her claim for Fraudulent Inducement – Concealment." The evidence supporting this allegedly undisputed material fact is Exhibit C to the declaration of Leonie Milstein, which contains about 180 pages of discovery requests and responses. Defendant fails to quote from, highlight, or even identify a single discovery response supporting this argument. In addition to violating California Rules of Court, rule 3.1350(d)(3) ["citation to the evidence in support of each material fact must include reference to the exhibit, title, page, and line numbers"], Defendant has failed to come close to its burden under section 437c: "The defendant has shown that the plaintiff cannot establish at least one

		element of the cause of action by showing that the plaintiff does not possess, and cannot reasonably obtain, needed evidence: The defendant must show that the plaintiff does not possess needed evidence, because otherwise the plaintiff might be able to establish the elements of the cause of action; the defendant must also show that the plaintiff cannot reasonably obtain needed evidence, because the plaintiff must be allowed a reasonable opportunity to oppose the motion." (Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 854.) The motion for summary adjudication is GRANTED as to the first, second, third, fourth, and fifth causes of action, and is DENIED as to the sixth cause of action. Moving party to give notice.
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